

Alphabet (GOOGL US)

Buy: Cloud beats expectations, as does FY27e capex

- ◆ Q1 results: ~9% beat on an EBIT level, driven by beats from both Services and Cloud. EPS distorted by equity gains
- ◆ Minor ~3% capex hike for FY26e, “significant” increase for FY27e. We lift our estimate to USD250bn (USD185bn)
- ◆ Retain Buy, lifting TP to USD435 (USD385), implying ~18% upside. GOOGL remains uniquely placed to benefit from AI

Q1 results a 9.2% EBIT beat, EPS distorted by equity gains: Total revenues were +21.8% yoy to USD109.9bn and 2.7% ahead vs VA consensus at USD107.0bn. Total EBIT was USD39.7bn, +29.7% yoy and 9.2% ahead of consensus at USD36.4bn. At an EPS level, diluted EPS was +81.8% yoy to USD5.11 and +87.3% ahead of consensus of USD2.73 driven once again by gains in equity securities of USD36.9bn, which we think is likely due to Anthropic and/or SpaceX (both private businesses). Removing this impact, diluted EPS would have been USD2.76, broadly in-line with consensus.

- ◆ **Google Services** revenues were +16.0% yoy to USD89.6bn and a 1.7% beat vs consensus. The growth was driven by strong GCP across both AI solutions and enterprise AI infrastructure. GAAP EBIT was +24.2% to USD40.6bn, an 8.0% beat vs consensus. This represents an EBIT margin of 45.3%, a record high. We assume this quarter is the high for the year but note risk to the upside.
- ◆ **Google Cloud** revenues +63.4% to USD20.0bn and an 8.8% beat vs consensus. EBIT was +~200% to USD6.6bn, a 30.9% beat and implying a margin of 32.9%, +282bps. The cloud backlog number grew by nearly 2x qoq rising to ~USD460bn, from ~USD240bn. Of the backlog, it was noted on the call that the vast majority is for the GCP platform with some due to external chip sales expected to impact the revenue line from the tail end of FY26e, with a greater impact from FY27e. It was also noted that the acquisition of Wiz will lead to lower sequential margins at Google Cloud over the remainder of the year by a “low single digit point”. We conservatively assume -3% vs Q1 for the remainder.

Capex guidance hiked for FY26e & 27e: For FY26e, capex guidance has been lifted to USD180-190bn from USD175-185bn. However, for FY27e, the commentary is for a “significant” increase. We now assume USD250bn for FY27e, +32% yoy, but note the last time “significant” increases were guided to it lead to a ~100% increase or USD100bn in absolute terms. The company bought back no shares in Q1; thus, we cut our expectations going forward to nil, helping to fund this capex increase.

Remain Buy rated with USD435.00 TP (from USD385.00), implying ~18% upside:

We update our model for the release, increasing our EBIT expectations for FY25-27e by 4-7% over FY26-28e. We roll forward our valuation to capture a 12-month forwards EBIT, which drives our higher TP of USD435.00 alongside our higher estimates. **Next potential catalyst:** Google I/O May 19-20.

Equities
IT Services

United States



MAINTAIN BUY

TARGET PRICE (USD)

435.00

PREVIOUS TARGET (USD)

385.00

SHARE PRICE (USD)

369.20

(as 19.57 GMT – 4, 29 April 2026)

UPSIDE/DOWNSIDE

+17.8%

MARKET DATA

Market cap (USDm)	4,254,653	Free float	87%
Market cap (USDm)	4,254,653	BBG	GOOGL US
3m ADTV (USDm)	10,128	RIC	GOOGLN

FINANCIALS AND RATIOS (USD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	10.81	14.62	14.47	16.86
HSBC EPS (prev)	10.81	11.29	13.41	15.36
Change (%)	0.0	29.5	7.9	9.8
Consensus EPS	10.62	11.47	13.38	15.53
PE (x)	34.2	25.2	25.5	21.9
Dividend yield (%)	0.2	0.2	0.3	0.3
EV/EBITDA (x)	27.3	19.9	15.9	12.8
ROE (%)	35.7	35.3	25.3	22.4

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

Paul Rossington*

Senior Global Tech Platforms Analyst

HSBC Bank plc
paul.rossington@hsbcib.com
+44 20 7991 6734

Charlie Rothbarth*

Global Tech Platforms Analyst

HSBC Bank plc
charlie.rothbarth@hsbc.com
+44 203 2685284

Nicolas Cote-Colisson*

MD, Head of Global Tech Platforms

HSBC Continental Europe
nicolas.cote-colisson@hsbcib.com
+44 20 7991 6826

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Issuer of report: HSBC Bank plc

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Financials & valuation: Alphabet

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	402,836	490,450	595,667	691,744
EBITDA	150,175	207,450	261,503	321,681
Depreciation & amortisation	-21,136	-32,360	-53,350	-81,396
Operating profit/EBIT	129,039	175,091	208,153	240,285
Net interest	3,601	1,950	239	-910
PBT	158,826	215,408	209,749	240,734
HSBC PBT	158,826	215,408	209,749	240,734
Taxation	-26,656	-38,027	-37,028	-42,498
Net profit	132,170	177,381	172,721	198,236
HSBC net profit	132,170	177,381	172,721	198,236
Cash flow summary (USDm)				
Cash flow from operations	164,713	196,667	244,214	309,764
Capex	-91,447	-190,000	-250,000	-250,000
Cash flow from investment	-120,291	-172,715	-250,000	-250,000
Dividends	-10,050	-10,432	-10,948	-11,311
Change in net debt	4,478	55,770	29,624	-34,845
FCF equity	73,266	6,667	-5,786	59,764
Balance sheet summary (USDm)				
Intangible fixed assets	33,380	67,218	67,218	67,218
Tangible fixed assets	261,818	418,747	615,397	784,002
Current assets	206,038	197,126	187,560	235,303
Cash & others	126,843	102,027	72,403	104,588
Total assets	595,281	809,510	996,595	1,212,941
Operating liabilities	123,938	130,002	131,307	134,148
Gross debt	46,547	77,501	77,501	74,841
Net debt	-80,296	-24,526	5,098	-29,747
Shareholders' funds	415,265	589,550	775,331	991,497
Invested capital	250,455	451,062	666,466	847,786

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	15.1	21.7	21.5	16.1
EBITDA	17.6	38.1	26.1	23.0
Operating profit	14.8	35.7	18.9	15.4
PBT	32.6	35.6	-2.6	14.8
HSBC EPS	34.4	35.3	-1.0	16.5
Ratios (%)				
Revenue/IC (x)	1.9	1.4	1.1	0.9
ROIC	50.0	41.1	30.7	26.1
ROE	35.7	35.3	25.3	22.4
ROA	25.4	25.6	19.5	18.2
EBITDA margin	37.3	42.3	43.9	46.5
Operating profit margin	32.0	35.7	34.9	34.7
EBITDA/net interest (x)				353.6
Net debt/equity	-19.3	-4.2	0.7	-3.0
Net debt/EBITDA (x)	-0.5	-0.1	0.0	-0.1
CF from operations/net debt			4790.3	
Per share data (USD)				
EPS Rep (diluted)	10.81	14.62	14.47	16.86
HSBC EPS (diluted)	10.81	14.62	14.47	16.86
DPS	0.84	0.88	0.92	0.97
Book value	34.27	49.17	65.71	85.30

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Revenue - Google services	342,721	391,596	419,939	451,365
Revenue - Google Cloud	58,705	97,677	174,423	239,176
Revenue - Other Bets	1,537	1,416	1,305	1,203
Operating Income - Google services	139,404	175,870	189,113	204,634
Operating Income - Google Cloud	13,910	29,849	52,229	71,619
Operating Income - Other Bets	-7,515	-7,237	-7,460	-7,664

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	10.2	8.4	7.0	6.0
EV/EBITDA	27.3	19.9	15.9	12.8
EV/IC	16.4	9.1	6.2	4.9
PE*	34.2	25.2	25.5	21.9
PB	10.8	7.5	5.6	4.3
FCF yield (%)	1.7	0.2	-0.1	1.4
Dividend yield (%)	0.2	0.2	0.3	0.3

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	8.9	No. of board members	10
Energy intensity*	n/a	Average board tenure (years)	16.0
CO ₂ reduction policy	Yes	Female board members (%)	10
Social Indicators		Board members independence (%)	70
12/2024a			
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

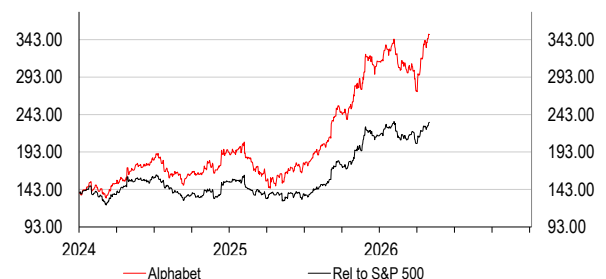
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	369.20	Free float	87%
Target price (USD)	435.00	Sector	IT Services
RIC (Equity)	GOOGL.N	Country/Region	United States
Bloomberg (Equity)	GOOGL US	Analyst	Paul Rossington
Market cap (USDm)	4,254,653	Contact	+44 20 7991 6734

Price relative



Source: HSBC

Note: Priced at 19.57 GMT - 4, 29 April 2026

Alphabet results breakdown and changes to HSBC estimates

Alphabet Q1 results breakdown (USD bn)

Results table	Actual	yoy growth	Consensus	Actual vs cons
Google Search & other	60.4	19.1%	59.0	2.3%
YouTube ads	9.9	10.7%	10.0	-0.8%
Google Network	7.0	-3.9%	7.1	-2.5%
Google Advertising Total	77.3	15.5%	76.1	1.5%
Google Subscriptions, platforms, and devices	12.4	19.3%	12.0	3.3%
Google Services total	89.6	16.0%	88.1	1.7%
Google Cloud	20.0	63.4%	18.4	8.8%
Other bets	0.4	-8.7%	0.5	-11.0%
Total	109.9	21.8%	107.0	2.7%
Total costs and expenses	70.2	17.7%	70.7	-0.8%
Group EBIT	39.7	29.7%	36.4	9.2%
Group EBIT margin	36.1%		34.0%	-215bps
EBIT - Services	40.6	24.2%	37.6	8.0%
EBIT - Cloud solutions	6.6	203.1%	5.0	30.9%
EBIT - Other Bets	(2.1)	71.3%	-1.5	40.7%
EBIT - Unallocated	(5.4)	78.1%	-4.6	16.5%
Non-operating income/(expense)	37.7	237.3%	3.1	na
Net income/(loss)	62.6	137.9%	33.2	88.3%
EPS - Diluted	5.11	81.8%	2.73	87.3%
Dividend per share	0.22	4.8%	0.22	1.7%
Free cash flow	10.1	-46.6%	11.8	-13.9%
Capex	35.7	107.4%	36.7	-2.9%

Source: HSBC estimates, Visible Alpha, Company reports

Changes in HSBC estimates

Alphabet (In USDbn)	New estimates			Old estimates			% changes		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Total revenue	490.4	595.7	691.7	484.1	567.5	638.0	1.3%	5.0%	8.4%
Google Services	391.6	419.9	451.4	387.4	420.1	451.7	1.1%	0.0%	-0.1%
Google Cloud	97.7	174.4	239.2	94.7	145.5	184.2	3.1%	19.9%	29.8%
Total EBIT	175.1	208.2	240.3	159.4	190.1	215.1	9.8%	9.5%	11.7%
Google Services	175.9	189.1	204.6	161.5	176.5	191.0	8.9%	7.1%	7.1%
Google Cloud	29.8	52.2	71.6	30.8	48.7	61.7	-3.1%	7.2%	16.0%
PBT	215.4	209.7	240.7	163.4	190.9	215.2	31.8%	9.9%	11.8%
Income Tax	38.0	37.0	42.5	27.4	32.0	36.1	38.7%	15.7%	17.7%
Net Income	177.4	172.7	198.2	136.0	158.9	179.1	30.4%	8.7%	10.7%
Diluted EPS	14.62	14.47	16.86	11.29	13.41	15.36	29.5%	7.9%	9.8%
DPS	0.88	0.92	0.97	0.88	0.93	0.97	-0.2%	-0.2%	-0.2%
Capex	190.0	250.0	250.0	185.0	185.0	185.0	2.7%	35.1%	35.1%
FCF	6.7	-5.8	59.8	8.2	45.3	97.7	-18.8%	-112.8%	-38.8%

Source: HSBC estimates

Valuation and risks

	Valuation	Risks to our view
Alphabet GOOGL US	Current price: We use SOTP analysis to reach our target price of USD435.00 (raised from USD385.00), based on unchanged peer group multiples. USD369.60	Downside risks ◆ Google Search losing meaningful query market share ◆ Google Cloud failing to win further contracts and reaching a lower market share than expected ◆ Price war within cloud server providers market impacting margins ◆ Adverse FX scenarios ◆ Chasing growth, including expensive M&A ◆ Limited valuation support
Buy	Target price: Our TP implies ~18% upside. We retain our Buy rating as we see scope for further margin expansion alongside our positive view across both Search, Cloud and YouTube. We see Alphabet as being well placed to deal with market shocks. USD435.00 Up/downside: +17.8% Our full valuation can be found overleaf.	

Priced at 19.57 GMT – 4, 29 April 2026
 Source: HSBC estimates

HSBC Alphabet SOTP valuation

	Revenues		EBIT		EV	% EV	EV/Revs		EV/EBIT		EV/Revs multiple	EV/EBIT multiple	Rationale
	FY26	FY27	FY26	FY27	FY26		FY26	FY27	FY26	FY27			
Search	262.8	280.7	157.8	168.6	3,050	65.3%	11.6x	10.9x	19.3x	18.1x		19.0x	In line with the internet peer group seeing similar EBIT growth.
YouTube Ads	45.1	50.2	7.6	9.0	214	4.6%	4.8x	4.3x	28.2x	24.0x		27.0x	Meta EV/EBIT at the HSBC TP
YouTube Subs	29.0	32.9	1.9	2.6	225	4.8%	7.8x	6.8x	120.6x	86.1x	7.5x		Unchanged
YouTube	74.1	83.0	9.5	11.6	439	9.4%	5.9x	5.3x	46.4x	38.0x			Sum of the above
Network	28.9	28.1	4.3	4.2	34	0.7%	1.2x	1.2x	7.9x	8.2x		8.0x	Mature online business seeing negative growth
Other	25.7	28.1	4.5	4.8	50	1.1%	1.9x	1.8x	11.2x	10.5x		11.0x	Mature online business seeing stable revenues
Services - Total	391.6	419.9	176.1	189.1	3,574	76.5%	9.1x	8.5x	20.3x	18.9x			
Google Cloud	97.7	174.4	29.8	52.2	1,241	26.5%	12.7x	7.1x	41.6x	23.8x		40.0x	Discount to Oracle multiple implied by HSBC TP
Other Bets	1.4	1.3	(7.2)	(7.5)	100	2.1%	70.6x	76.6x	-13.8x	-13.4x			Assumption for Waymo
Alphabet-level activities			(23.4)	(25.7)	(239.8)	-5.1%						8.0x	Mature online business seeing negative growth
Total	490.7	595.7	175.3	208.2	4,674	100.0%	9.5x	7.8x	26.7x	22.5x			
Tax benefit					10%								
Total EV					5,142		10.5x	8.6x	29.3x	24.7x			
Net debt (2025 adjusted for Wiz acquisition)					48.3								
Other					32								
Equity value					5,222								
# shares outstanding (bn)					12.0								
Target price (USD, rounded)					435.0								
Implied upside					17.8%								

Priced at 19.57 GMT – 4, 29 April 2026

Companies mentioned in our Alphabet SOTP

Company	Ticker	Closing price (USD)	Rating	Target price (USD)
Oracle	ORCL US	165.06	Buy	345.00
Meta	META US	621.69	Buy	905.00

Source: HSBC, LSEG Workspace
Priced at 19.57 GMT – 4, 29 April 2026

Disclosure appendix

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Important disclosures

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The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

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*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

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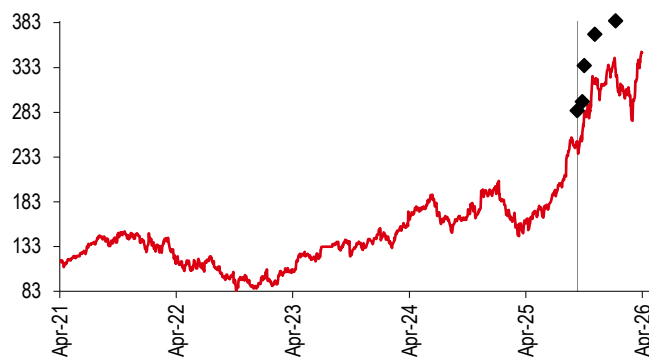
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

Alphabet (GOOGL.N) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	07 Oct 2025	Paul Rossington
Target price	Value	Date	Analyst
Price 1	285.00	07 Oct 2025	Paul Rossington
Price 2	295.00	24 Oct 2025	Paul Rossington
Price 3	335.00	30 Oct 2025	Paul Rossington
Price 4	370.00	02 Dec 2025	Paul Rossington
Price 5	385.00	05 Feb 2026	Paul Rossington

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
ALPHABET	GOOGL.N	349.94	29 Apr 2026	1, 2, 5, 6, 7

Source: HSBC

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- 13 As of 24 April 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
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Issuer of report

HSBC Bank plc
8 Canada Square
London, E14 5HQ, United Kingdom
Telephone: +44 20 7991 8888
Fax: +44 20 7992 4880
Website: www.research.hsbc.com

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